

Memorandum of Land Contract

This Memorandum of Land Contract is effective as of this ____ day of _____, 20__, by and between _____ (“Purchaser”) whose address is _____ and _____ (“Seller”) whose address is _____.

The Purchaser and the Sellers have entered into a Land Contract of even date herewith and they desire to enter into this Memorandum of Land Contract to give record notice of the existence of said Land Contract.

In consideration of the premises and other good and valuable consideration, the Sellers acknowledge and agree that they have sold to the Purchasers on Land Contract of even date, the following described premises in the Township of _____, County of _____ and State of Michigan, described as follows: _____

subject to all recorded easements, conditions, encumbrances, and limitations and to all applicable building and use restrictions, zoning laws and ordinances, if any.

By signatures below, the parties have executed this Memorandum of Land Contract the day and year first above written.

Seller

Seller

Purchaser

Purchaser

STATE OF MICHIGAN)
)ss
COUNTY OF _____)

The foregoing instrument was acknowledged before me, a Notary Public, this ____ day of _____, 20__, by _____ (“Sellers”) and _____ (“Purchasers”).

Notary Public
County, MI

My Commission Expires: _____
Acting in _____ County, MI

Drafted by:

When recorded return to:

Terms of a Land Contract.

The land contract itself should also contain the following:

1. Identify the parties to the land contract.
2. Legal Description of the parcel.
3. Purchase price.
4. Amount of down payment, if any.
5. Balance remaining after down payment.
6. Amount of installment payments.
7. Date payments are due each month.
8. Amount of interest (Michigan usually limited 11%).
9. Date the interest and principal payments begin.
10. Method of payment of taxes and insurance.
11. The term of the land contract.

If the land contract is for a short term, perhaps three to five years, this usually results in a large “balloon payment” due when the contract ends. If the Buyer cannot afford this large payment, the Buyer will either have to sell the property, which could be sold again on a land contract with enough down on that sale to pay off the balance and obtain the deed from the Vendor, or acquire a mortgage to pay off the balance to the seller. If this cannot be achieved, then the property will revert back to the original owner and loss of all interest to the buyer.

Land Contact Addendum to the Purchase Agreement

The undersigned _____ (“Purchasers”) and
_____ (“Sellers”) mutually agree that the following conditions are to
be incorporated into and become part of the Purchase Agreement dated _____, 20__, for
the property legally described as _____
and more commonly known as _____.

Sale to Land Contract.

Payment of the sum of \$_____ by certified check upon the execution of a Land Contract in the amount of \$_____ on a broker or title company form acknowledging payment of that sum and calling for the payment of the remainder of the purchase money within ____ years from the date of contract in monthly payments of not less than \$_____ each which include interest at the rate of _____% per annum and which DO ☐ or DO NOT ☐ (check one) include prepaid taxes. If sale is to existing land contract, see Additional Conditions relating to assumption of existing land contract. If this purchase involves a condominium unit, Buyer is advised to determine from the Condominium Association whether this purchase will make the purchaser eligible to become a member of said Association.

ALL PARTIES SHALL INITIAL ANY CLAUSE WHICH IS PART OF THIS SALE OR WRITE DNA (does not apply) IN ANY CLAUSE THAT DOES NOT APPLY.

INITIAL ALL SECTIONS THAT APPLY

- ____ 1. Land Contract Principal and interest payments of \$_____. If there is an underlying mortgage on the property, the financial institution must be contacted by the Seller prior to closing to determine if the institution has any special provisions (such as a due on sale clause) or requirements if the property is sold on a land contract. Consummation of this transaction may not relieve Seller of this liability under his or her present mortgage.

Seller is under no obligation to extend this contract beyond the agreed upon termination or to refinance the principal balance beyond said termination date.

Real Estate Taxes.

- ____ 2. Buyer agrees to pay all taxes and special assessments before any penalty for non-payment attaches thereto, and submit proof of payment to Seller upon request. Payment to be made to the taxing authority.

OR

- ____ 3. Buyer agrees to pay an additional monthly amount of \$_____ which is an estimate of 1/12 of the annual cost of taxes and special assessments, which shall be credited by the Seller to the principal balance. Seller shall pay said taxes and assessments before any penalty attaches and add amounts so paid to the principal balance of the contract. This amount may be adjusted periodically to approximate the total sum required annually for taxes and assessments.

OR

- ____ 4. When Seller's property is encumbered by a mortgage and the Seller's mortgage payment includes taxes, Seller agrees to pay all taxes and assessments when due and before any penalty for non-payment attaches thereto. Seller will deliver proof of payment to Purchaser for each tax and assessment so paid. Purchaser agrees to reimburse Seller for each item so paid on or before 15 days after receipt of proof of such payment.

Insurance.

- ____ 5. Insurance will be paid in accordance with the method outlined in Paragraph ☐ 2, ☐ 3, or ☐ 4 above. (check one). (If Paragraph 3 is selected, the monthly amount is \$_____).

Improved property shall name Seller as additional insured for at least the amount of the Land Contract.

Payment and Tax Proration.

- ____ 6. Buyer's first monthly payment is due 30 days from the date of closing. Interest will begin to run from the closing date. If Seller occupies the property after closing he/she/they will pay use and occupancy in accordance with Paragraph #2 of the Purchase Agreement. In addition, if payments are to be due on the first of the month, place an "X" here ☐. In this case, Buyer will pay interest at closing for the period from the closing date to the first of the following month and the first payment will be due 30 days later.
- ____ 7. Buyer is to supply, at his expense, to Seller a current credit report, employment letter(s) and financial statement not later than _____. If said information is not satisfactory to Seller or delivered as agreed, Seller may declare this sale null and void and all deposit monies will be returned.
- ____ 8. In the event payments are not received within 15 days from the due date, a late fee of \$_____ per payment shall be assessed. This is a service charge and is not interest. Buyer further agrees and understands that assessment of the late fee does not constitute an election under the contract and that the Seller may pursue any other remedies available in law or equity. (Note: this Paragraph, when applicable, is to be copied verbatim in the additional conditions of the Land Contract document).
- ____ 9. It is understood that the monthly installment payments specified in said contract are insufficient to fully pay the obligation owing within the term of said contract; and that there will be a lump-sum payment due Seller upon completion of said term.

The following clauses are hereby incorporated into this Agreement.

10. It is agreed that the Buyer at any time during the term of this Land Contract has the right to assume, with lender's permission, and pay Seller's present mortgage on the property, which is held by _____ and which has a present unpaid balance of \$_____ requiring present monthly payments of \$_____ at _____% per annum. Such monthly payments DO ☐ DO NOT ☐ include prepaid taxes and insurance. If Seller has any accumulated funds held in escrow for the payment of any prepaid items, the Purchaser will reimburse Seller upon proper assignment of same. Seller further agrees to make only the monthly payments required by the above lender, but no additional payments during the term of this Land Contract. Seller further agrees to terminate their present credit life insurance, if applicable, on said mortgage as of _____ the date of closing and shall not obtain additional credit life insurance for said mortgage during the life of this Land Contract. (Note: this Paragraph, when applicable, is to be copied verbatim in the additional conditions of the Land Contract documents).
11. No representations, oral or otherwise, have been made by the parties hereto and/or real estate broker(s) as to the future availability of alternative financing which might be required by the Buyer to fully pay the obligation then owing on said contract.
12. Buyer has been advised that a survey should be obtained and

has ☐ ordered a survey ☐ decided not to have a survey (check one). If survey is ordered, it will be a ☐ mortgage type ☐ stake type. (check one). Survey is at Buyer's cost, paid in advance.

13. Seller agrees to execute a Warranty Deed at closing to be placed in escrow with a title company until contract is paid in full. Purchaser agrees to pay the escrow fee.
14. All parties to this transaction should seek the counsel of an attorney and an accountant to protect their interest. Brokers and salespeople are neither trained nor employed to provide such counsel and the parties hereto acknowledge that they have not relied on any such advice if it has been given.

Additional Conditions.

Witnesses:

Buyer

Buyer

Seller

Seller

Land Contract

This Land Contract is effective as of this ____ day of _____, 20__, between _____ and _____ (husband and wife, or single) whose address(s) is/are _____ respectively (the “Sellers”) and _____ (husband and wife, or single) whose address(s) is/are _____ respectively (the “Purchaser”).

In consideration of the mutual covenants to be performed between the parties to this Land Contract and the sum set forth below, it is agreed between the parties as follows:

1. Sale. Sellers hereby sell and agree to convey to Purchaser all that certain piece or parcel of land situated in the Township of _____, County of _____, and State of Michigan, described as follows:

together with all easements and rights benefiting the premises which are of record, and all tenements, hereditaments, and appurtenances, now on the premises, and subject to all recorded

easements, restrictions, right-of-way, conditions, encumbrances and limitations and to all applicable building and use restrictions, zoning laws and ordinances, if any, affecting the premises.

2. Price and Terms. Purchaser purchases the Premises and agrees to pay the Seller the sum of _____ and ____/100 Dollars (\$_____.00) in the following manner: _____ and ____/100 Dollars (\$_____) on delivery of this contract, the receipt whereof is confessed and acknowledged by the Seller, and the remaining _____ and ____/100 Dollars (\$_____) the sum which is secured by this contract, together with interest on the whole sum that shall be from time to time unpaid at the rate of _____ per cent (____%), per annum, payable as follows: In monthly installments of principal and interest payable on the _____ day of each month, in the amount of _____ and ____/100 Dollars (\$_____) beginning _____, 2009. The Purchaser to have the right to pay larger installments than above provided for and to pay whole or any part of the balance remaining unpaid on this contract at any time before the same, by terms hereof, becomes due and payable. If monthly installments are not received within 15 days of due date, a late fee of \$_____ will be assessed.
3. Taxes and Insurance. The Purchaser shall promptly pay, when due, all taxes and assessments of every nature, which shall become a lien on the Premises after this date and shall, during the continuance of this contract, keep insured the buildings now or hereafter placed on the Premises in the name of said Seller against loss by fire and windstorm, in such company or companies and for such amount as the Seller shall approve, and promptly deposit all policies of insurance with the Seller, with loss, if any, payable to the Seller, as Seller's interest may appear under this contract. Should the Purchaser fail to pay any tax or assessment when due or to keep said buildings insured, the Seller may pay the same and have the buildings insured and the amounts thus expended shall be a lien on the Premises and may be added to the unpaid balance on this contract and be due at once and bear interest until paid at the rate of _____ per cent, per annum.
4. Maintenance. All buildings, trees or other improvements now or hereafter made or placed on the Premises shall be a part of the security for the performance of this contract and may not be removed from the Premises. Purchaser shall not commit or suffer any other person to commit, any waste or damage to the Premises or the appurtenances and shall keep the Premises and all improvements in as good condition as they are now, reasonable wear and tear excepted. Further, no structural modifications shall be made by the Purchaser without prior written consent of the Seller.
5. Forfeiture and Acceleration Clauses. If the Purchaser shall fail to perform any of the covenants or conditions contained in this contract, for a period of ten (10) days after the date on which such performance is required under this contract, the Seller may:
 - (a) give the Purchaser a written notice specifying the default which has occurred and inform the Purchaser in such notice that if such default continues for a period of fifteen (15) days after service of such notice, that the Seller will, without further notice, declare the entire balance due and payable, and proceed according to the common law or the statutes of the State of Michigan; or
 - (b) not declare the entire balance due and payable, and proceed according to the common law or the statutes of the State of Michigan, including but not limited to the right of Seller to declare a forfeiture in consequence of the nonpayment of any moneys required to be paid under this contract or any other breach of this contract but in the event Seller elects to proceed under this subparagraph, the Seller shall give the Purchaser a written notice of forfeiture specifying the default which has occurred

and shall give the Purchaser a period of 15 days after service of such notice of forfeiture to cure the default which has occurred; or

- (c) Begin the foreclosure process. Including acceleration of the amount owed under this Land Contract.

6. Conveyance and Evidence of Title. If the Purchaser shall, in the time and manner above specified, make all the payments herein provided, and observe and perform all the conditions and agreements herein made, the Seller shall, by good and sufficient warranty deed, convey the Premises to the Purchaser, and the Seller shall deliver with said warranty deed a complete abstract of title and tax history of the Premises certified to date of conveyance and showing a marketable title, subject to easements, conditions, encumbrances and limitations of record, in the Seller, or a fee simple title insurance policy guaranteeing title to the Premises in the name of the Purchaser; provided, however, that the warranty deed, the abstract and the tax history shall be limited so as to except acts or negligence of parties other than the Seller subsequent to the date of this contract. In the event an abstract is delivered, the Purchaser agrees to accept the abstract of title certified to date of conveyance, showing in the Seller a marketable title of record, subject to easements, conditions, encumbrances and limitations of record. In the event that evidence of title in the Seller, by abstract of title or title insurance, has been furnished the Purchaser current with the date of this contract, Purchaser agrees that except for costs resulting from acts, negligence, or death of the Seller, the cost of additional evidence of title shall be the obligation of the Purchaser.
7. Possession. Possession of the Premises may be taken by said Purchaser at closing and retained for so long as no default is made by the Purchaser in any of the terms or conditions hereof.
8. Assignments. Purchaser may assign and convey his interest in this contract or any part thereof PROVIDED, however, that such assignment or conveyance shall not be result in the probability of waste or other impairment of Seller's security in the Premises or the probability of default on behalf of Purchaser as a result of any such assignment or conveyance. Any violation by the Purchaser of this condition shall be considered a default of a condition of this contract. Under no circumstances shall any assignment or conveyance release Purchaser from Purchaser's obligations under the provisions of this contract unless Seller so releases Purchaser in writing. No such Assignment, however, shall be valid until written notice of the Assignment has been given to Seller.
9. Conveyance or Mortgage by Seller. The Seller reserves the right to convey Seller's interest in the Premises and Seller's conveyance shall not be cause for rescission. The Seller may, during the lifetime of this contract, place a mortgage on the Premises, which shall be a lien on the Premises, superior to the rights of the Purchaser, or may continue and renew any existing mortgage thereon, provided that the aggregate amount due on all outstanding mortgages shall not at any time be greater than the unpaid balance of the contract, and provided that the aggregate payments or principal and interest, whether periodic or final, required in any one month in such new or renewal mortgage shall not exceed those named in this contract; nor shall said new or renewal mortgage restrict the time of payments thereon to a date later than is provided for similar payments in this contract. To secure the priority of lien granted to a new or renewal mortgage as provided for in this paragraph, written notice shall be given to the Purchaser within fifteen (15) days of the execution of all such new mortgages and renewal containing the name and address of the mortgage, the rate of interest of such mortgage, the amount and due date of payments and maturity of principal.
10. Notices. Until provided with notice of a new address, the parties agree that notices required under this Land Contract may be sent to the Sellers at their address set forth above and to the Purchasers at their address set forth above. Notice of forfeiture or foreclosure of this Land Contract shall be served as provided by law.

11. Pronouns. If more than one joins in the execution as Seller or Purchaser, or either be of the feminine sex, or a corporation, the pronouns and relative words herein used shall be read as if written in plural, feminine or neuter respectively.
12. Time of Essence. It is expressly understood and agreed by the parties that time shall be deemed as of the very essence of this contract and all stipulations and agreements therein contained shall apply to and bind the heirs, executors, administrators, successors and assigns of the parties.
13. Condition of the Premises. Purchaser agrees that the Sellers have made no representations or warranties as to the condition of the premises, the condition of the buildings, appurtenances, and fixtures located at the premises, and/or the location of the boundaries of the premises.
14. Transfer Tax. The Sellers are responsible for payment of the State and County transfer taxes at the time the Warranty Deed is given to the Purchaser for recording. The Transfer Taxes may be deducted from the balance owed by the Purchaser at the time the Land Contract is paid off. It then becomes the Purchaser's responsibility to pay the Transfer Taxes when the deed is recorded.
15. Other Provisions.

_____.

By signatures below, the parties have executed this Land Contract the day and year first above written.

Seller

Seller

Purchaser

Purchaser

STATE OF MICHIGAN)
)ss
COUNTY OF _____)

The foregoing instrument was acknowledged before me, a Notary Public, this ____ day of _____, 20____, by _____ ("Sellers") and _____ ("Purchasers").

Notary Public
County, MI
My Commission Expires: _____
Acting in _____ County, MI

Drafted by: _____

When recorded return to: _____

SAMPLE